

investment which involves ₹3,000-4,000 crore of equity... ₹3,000-4,000 crore is all I need to fund 10 years of losses in FMCG. It's not that big a deal in the context of annual cash flows of ₹5,500 crore if you're looking at funding ₹300-400 crore of losses.

Q: Is this the same thought process which drove you to the IPL Lucknow franchise?

A: You know Udayan, I had a very different way of looking at the IPL. I do believe this is a huge value creation opportunity because in 5-7 years, I expect these franchises to be valued at \$2 billion at least. Also, the economics have changed for the better since the time I won the bid and today it appears the broadcast rights will go at significantly higher sums than was planned or anticipated in those days. So, as it stands, my investment in year one will be ₹500 crore, from year two to year six it will be ₹250 crore a year, and thereafter there is no further investment. So less than ₹2,000 crore for an IPL franchise. Chennai Super Kings is already valued at ₹7,600 crore; I think the math is there for anyone to see.

Q: So, it was a hard business decision right, Sanjiv, because you know with these things, there is such a fine line between it being a trophy that you're acquiring for other reasons, or a tangible business opportunity.

A: You know, you look at trophies and vanity investments when you're 25 and 30. When you're 60, only fools look at vanity for investments. I certainly don't think I'm in that category.

Q: I want to spend a minute on the power business. Do you ever worry that you are stuck in a business where the environmental winds are blowing too heavily against you?

A: I'd stopped investing in thermal power generation five years ago and I'm on record at our AGM five years ago saying that we will not invest in thermal power generation capacity. What we have already started or what we are invested in obviously remains, but we will not invest a rupee more in any additional capacity.... I do believe for power the way to go is distribution and there'll be enough power

ON THE FUTURE OF THE POWER BUSINESS

For power the way to go is distribution and there'll be enough power available for the taking so I would rather not invest in generation but in distribution, which is where we are growing.

ON THE SAREGAMA TURNAROUND

We have some of the biggest names back with us and that's not because they like the look of my face or my people. It's because they're confident that Saregama can deliver the best result to them.

ON BROTHER HARSH GOENKA

Harsh and I have very good relations; we speak regularly, have long conversations and share many things. We feel good when the other does well.

ON KOLKATA

Kolkata is home for me. It's where I've been born and brought up; it's a city that has given me enormous love, enormous respect.

available for the taking so I would rather not invest in generation but in distribution, which is where we are growing; and we've taken over three cities in Rajasthan and Malegaon in Maharashtra. We won the bid for Chandigarh and there will be many more.

Q: Take us back in time to that day when your father [industrialist Rama Prasad Goenka] told you that the RPG Group was being carved up between you and Harsh. You were much younger then and there was no rift between you and your brother, so did it come as a shock? How did you take it?

A: It was completely unexpected, like a bolt from the blue. So it was February 26, 2010, four days before his 80th birthday and he said this is what I've decided to do. Over the years I had realised and learnt that there were many things you could mould my father's opinion on, but in some matters you just couldn't make him change his thinking. So that was it. For 30 years Harsh and I worked together, speaking 10 times in a day, on anything and everything. So, it took some time to get mentally used to the fact that we'd be working independently, but that's the way it is. Harsh and I have very good relations; we still speak regularly, we have long conversations and share many things and we feel good for each other when the other does well. That to my mind is the best thing.

Q: And now Harsh is in Mumbai but you live in Kolkata and you've never shifted your base. You've got businesses all over the place, but Kolkata remains steadfastly your base. Is there some special mooring or anchoring with that city?

A: Oh yes, Kolkata is home for me. It's where I've been born and brought up; it's a city that has given me enormous love, enormous respect and if I had a choice, this would be a city I would continue to live in forever. The same holds true for my son, and that's his choice, by choice.

Q: People in Kolkata would be calling you an adopted Bengali *bhadralok* (gentleman), would they not by now?

A: Ekey barey. Absolutely! **BT**